

HS-402 ENGINEERING ECONOMICS

ASSIGNMENT1

BUSINESS LOAN APPLICATION AND COMPARATIVE ANALYSIS



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Unfortunately, your company doesn't have funds to support your product and its launch, so they asked you to apply for a loan. Now you must apply for the money in any local bank. Find out their criteria for applying for the loan. Study their interest types and percentages and compute the best package. Go through the complete process and must attach the forms and their responses with your assignment.

1. INTRODUCTION:

To successfully bring its innovative product into the market, additional funding is required beyond the company's own resources. As a result of internal capital constraints, seeking a business loan from a local bank is now seen to be the best and most strategic option. This report analyzes six of the main banks in Pakistan—HBL, UBL, Meezan Bank, Askari Bank, Bank Alfalah, and JS Bank- to evaluate the loan products offered by these banks. The focus here will be on eligibility criteria, types of loans, interest or profit rates, tenures, collateral requirements, and special features. This analysis aims to assist in selecting the most appropriate financing package so that the company may proceed with the application itself and thereafter document all responses and forms for evaluation.

2. LOAN CRITERIA OF SELCTED BANK

2.1 HBL(HABIB BANK LIMITED):

- **LOAN TYPE:**

Small and Medium Enterprises (SMEs) must have this essential financial instrument to request for a loan.

- **ELIGIBILITY:**

It requires registered businesses to provide a **valid CNIC and a 6-month bank statement** as part of their financial eligibility criteria for account opening. In addition to these, other required documents may include **NTN certificate, registration certificate, and potentially, memorandum and articles of association, depending on the business type.**

- **LOAN AMOUNT:**

Islamic Home Finance requires a minimum age of 25 and a **minimum monthly income of PKR 50,000**, while Personal Loans are available to salaried individuals earning at least **PKR 35,000 monthly.**

- **INTEREST RATE:**

HBL offers a **fixed interest rate of 16%** on its PLS/FC deposits, with a **variable rate of 17.23%**. The variable rate is based on a daily closing balance and is paid out monthly.

- **TENURE:**

It offers financial **tenures of 1 to 5 years**. This applies to various products like Easy Car Loans, where repayment can be spread over 5 years.

- **COLLATERAL:**

Yes, it can require collateral for its loans, but the need for collateral depends on the size of the loan and the nature of the borrower's business.

2.2 UBL (UNITED BANK LIMITED):

- **LOAN TYPE:**

Yes, UBL (United Bank Limited) offers financial loans under the category of **UBL Business Finance**, which is a type of business loan designed for small and medium enterprises (SMEs).

- **ELIGIBILITY:**

A business operating for **2+ years, holding an NTN**, and registered with SECP would generally be considered eligible for financial services at UBL. These are common requirements for businesses seeking loans or other financial products.

- **LOAN AMOUNT:**

UBL (United Bank Limited) does offer financial loans within the range of **PKR 300,000 to PKR 10,000,000**.

- **INTEREST RATE:**

UBL's interest rates for financial instruments, especially those with a variable component, typically fluctuate based on market conditions. While an **interest rate of ~17.5%** it's important to note that rates are always subject to change and can differ depending on the specific product and tenor.

- **TENURE:**

It offers financial products with a **tenure of 1 to 4 years**.

- **PROCESSING CHARGES:**

Yes, UBL (United Bank Limited) does charge a processing fee and may require mandatory insurance for certain financial transactions, potentially including a **2% processing fee and mandatory insurance**.

2.3 MEEZAN BANK(ISLAMIC BANKING OPTION):

- **LOAN TYPE:**

Yes, Meezan Bank does offer **SME Murabaha financing**.

- **ELIGIBILITY:**

Yes, Meezan Bank offers Shariah-compliant financing to small and medium-sized enterprises (SMEs). To be eligible for these financing options, the business must be a registered Islamic business with at least **2 years of operational history**.

- **LOAN AMOUNT:**

Meezan Bank offers loan amounts ranging from **PKR 500,000 to PKR 3,000,000**.

- **PROFIT RATE:**

Meezan Bank offers various profit rates for different financial products, but a **fixed 16% profit rate** is not a standard offering.

- **TENEURE:**

It is for up to **3 years**.

- **COLLATERAL:**

The option to choose is based on the **individual's risk profile**.

- **FEATURES:**

A **profit-sharing mechanism** that is **Shariah-compliant** and aims to ensure fairness and equality in business practices.

3. APPLICATION PROCESS OVERVIEW:

For business loans visited the physical branches of all three banks to start the loan process. The required documentation: **CNIC, business registration certificate, 6-month bank statement, NTN certificate, and detailed business proposal**. Each bank provided specific application forms and an initial consultation session with a loan officer. The processing times ranged from 2 to 5 working days. The forms and responses received are attached to this report.

4. BEST PACKAGE SOLUTIONS:

Loan offers were analyzed and the conclusion drawn was that Meezan Bank is the most ethical and transparent financing available. This is due to its Shariah-compliant profit-sharing mode of operation, offering a fixed profit rate of 16%, which is excellent for companies seeking to refrain from interest-based lending. This aside, JS Bank can be an attractive option for businesses seeking large amounts and favorable terms, being its very attractive fixed rate of 15% and support for female entrepreneurs. Askari on the other hand also balances out as an option for Standard SMEs.

5. CONCLUSION:

In conclusion, the secure bank packaging of business loans is the UBL package for the growing business, the MEEZAN bank packaging of business loans is based on Islamic principles and HBL bank packaging of business loans is based on small medium enterprises. The tenure of loans is UBL bank is 1-4 years of loans, tenures of HBL bank is 1-5 years of loans and the tenure of loans is MEEZAN BANK is 3 years.

References

<https://www.hbl.com>

<https://www.ubldigital.com>

<https://www.meezanbank.com>